Briefs Pro

WEALTH PRESERVATION

August 2026 Report

Six months into the U.S.-Iran war, oil has been on the move.

Here's the timeline of Brent crude:

- It started near $79.
- Spiked to $118.
- Crashed to $72.
- Jumped back over $100.
- And now (as of August 11th) sits right back near $88.

The swings are getting more dramatic - in the first 11 days of August, oil fell 5% before jumping back up by 5%.

The jumps came after Qatar drafted a plan for reopening the Strait of Hormuz - a draft, with nothing signed and nothing agreed.

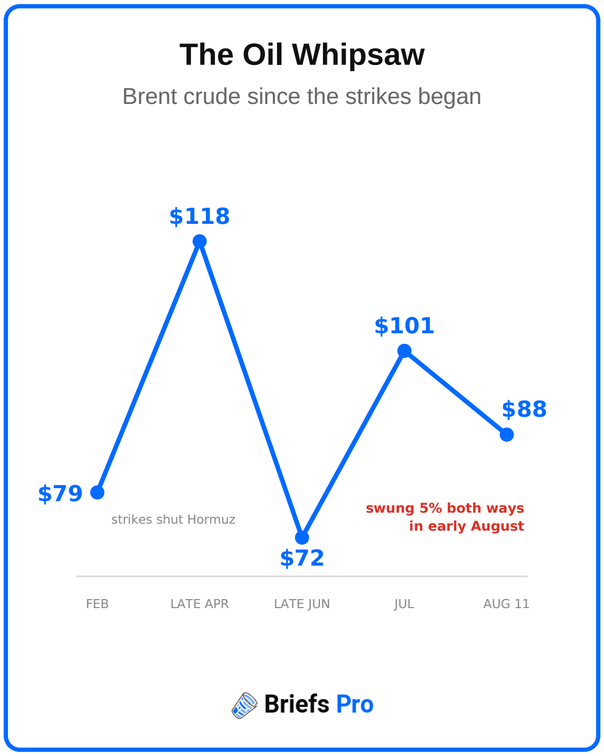
**In English:** Nobody - not traders, not governments - has figured out how to price assets during this war.

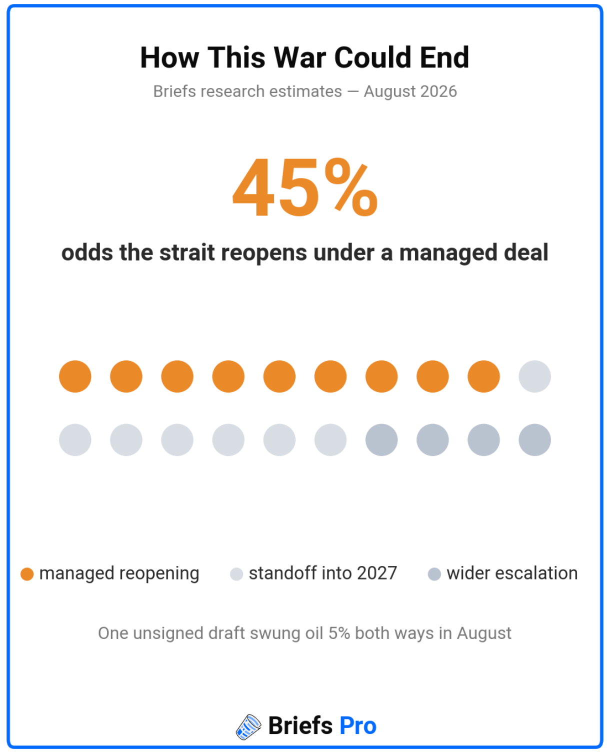
So far, oil prices and stock prices have just chased whatever headline landed last.

For investors focused on protecting wealth, a portfolio positioned for the war to drag on loses money on peace headlines, while a portfolio positioned for peace gets hit the moment talks stall.

Guess wrong in either direction, and the "defense" becomes the thing that hurts you.

Our analysts said at the beginning of this conflict that there is a 45% chance of a managed reopening of the Strait of Hormuz: through which about a third of the world's oil moves. There's also a 35% chance the standoff lasts much longer, and a wider escalation at 20%.




This is where we've spotted a Broad Market Shift:

**No one can predict how this war ends - so instead of guessing, investors are moving into companies whose profits don't depend on the outcome.**

In other words, there are two ways to pull that off: Own a company that gets paid in every version of this war, or own one the war can't touch at all.

Here's how our analysts are picturing this shift:

- One company collects bigger insurance premiums the longer the danger lasts.
- One company sells things people need in war and in peace - so the headlines shaking every other stock can't shake this one.

There's a shared trait behind both, too. In the market's ugliest weeks of the last five years, this pair absorbed only about one-fourth to one-third of the damage the broader market took, by our team's analysis.

**Keep in mind:** No stock is immune to market swings, and the goal of these stocks is not to beat the market.

The goal is businesses who keep making money no matter how the war wraps up - so the business still has strong fundamentals regardless.

Let's take a look at the two stocks analysts are adding to our Wealth Preservation portfolio this month.

## *ANALYST TAKE*

Tickers we're tracking:

**The fear collector:** CB
**The anchor:** JNJ

## *THE FEAR COLLECTOR*

### Chubb (CB) | Collecting the Price of Fear

Chubb ranks among the biggest insurers on the planet, covering everything from homes to businesses to ships - and this war handed it a way to earn even more.


**What's happening?** Every tanker that risks the waters near the Strait of Hormuz needs special war-risk insurance before it sails.

Before the war, that coverage cost 0.25% of a ship's value. At the panic's peak it hit 10% - a 4,000% jump - and it still sits between 3% and 8% today.

Far fewer ships are sailing, though. About 11 a day crossed Hormuz in the first full week of August, against a peacetime norm closer to 73.

So the tankers still moving pay 12 to 32 times what they paid in January, and the ones parked in the Gulf are insured too.

Somebody collects all of those premiums (the payments customers make for coverage) - and Chubb has become the biggest name in the space.

In June, Lloyd's of London - the world's oldest insurance market - set up a group of insurers to cover Hormuz shipping, with as much as $400 million behind it.

The insurer chosen to lead that group: Chubb.

Pricing danger is what insurers do all day - Chubb just happens to be doing it in the most-watched waterway on Earth.

**Here's a few ways the Iran-U.S. war could go:**

- The strait reopens with naval escorts? Ships sail again - and pay up for protection along the way.
- Talks stall into 2027? Rates hold between 3% and 8%, and the premiums keep rolling in.
- The fighting spreads? Fear climbs, and the price of covering that fear climbs with it.

Run any version you like, and shipowners are writing big checks either way - Chubb has simply positioned itself at the front of the line to cash them.

### Fewer Ships, Fatter Premiums

Hormuz traffic and war-risk insurance

**11 a day**

**tankers crossing Hormuz in early August**

vs. a peacetime norm near 73

**12–32x**

**what the ships still sailing pay to insure a voyage**

war-risk cover: 0.25% pre-war, 10% at the peak, 3–8% today

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### The Fear Trade, Priced

War-risk premiums - and the insurer collecting them

| WAR-RISK RATE | CHUBB (CB) |
|---|---|
| **3–8%** | **83.8%** |
| of a ship's value per voyage<br>peak: 10% · pre-war: 0.25% | combined ratio — claims and costs<br>vs. premiums taken in |

**Lloyd's Hormuz group:** up to $400M - led by Chubb

**Profit engine:** about 16 cents of every premium dollar sticks

**Preservation grade:** A · Max 5-yr drawdown: 18%

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But Chubb as a wealth preservation opportunity is more than just it being in the right place at the right time.

The company also has a history of turning premiums into profits.

Chubb's combined ratio - an insurer's claims and costs measured against the premiums it takes in - sits at 83.8%.

In short - about 16 cents of every premium dollar sticks as profit, before counting anything Chubb earns by investing the cash.

On our preservation engine, Chubb earns an A - the top grade of every stock we tested for this report.

Its maximum drawdown over the last five years is 18%.

- Maximum drawdown measures a stock's worst top-to-bottom fall. Chubb's worst in five years was 18% - at the very bottom, $10,000 would have briefly shrunk to about $8,200.

The stock also tends to march to its own beat, largely ignoring what the broader market is doing on any given day.

Leading that Hormuz group means Chubb keeps a slice of the risk on its own books, not just the premiums.

A deadly tanker disaster would also be costly, though the group setup spreads that pain across many insurers at Lloyd's.

**Exit Trigger:** A major shipping tragedy in the Gulf, or a combined ratio climbing toward 100% - the point where the insurance itself stops making money - would be the cue for investors to rethink this one.

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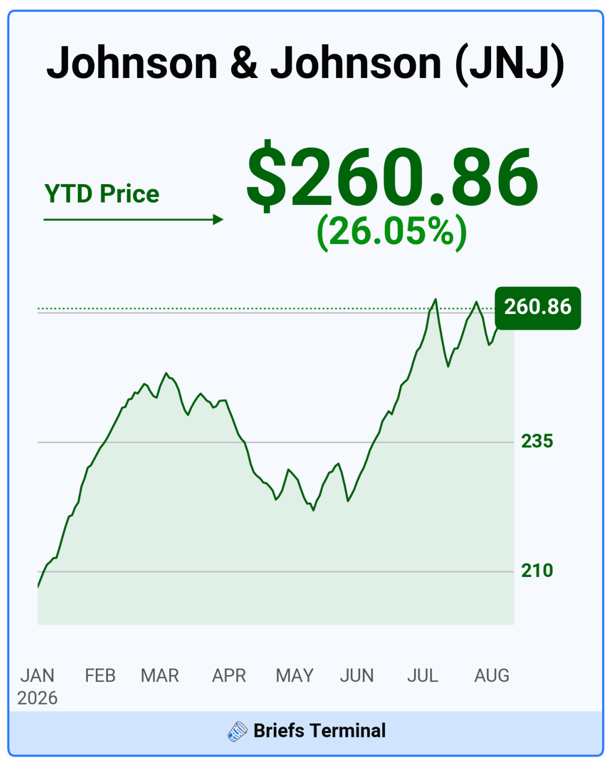
### *THE ANCHOR*

### Johnson & Johnson (JNJ) | The Anchor That Ignores the War




Chubb profits from protecting ships - Johnson & Johnson does not.

So, how is it a part of this shift? The war sends no money its way - no premiums, no contracts, no headline boosts.

It's in this report for a different reason: If every pick depended on the war, this portfolio would just be another bet on the war - the exact thing this report is trying to avoid.

J&J is the anchor - a steady dividend stock that protects money whether the shift plays out, stalls, or the war ends tomorrow.

The war has made the market volatile, but JNJ stays stable despite the ups and downs.

**What's happening?** J&J sells medicine and medical devices - things people keep buying in booms, busts, wars, and peace, because health doesn't wait on headlines.

No patient skips a prescription over a closed shipping lane, and that single fact is most of the case.

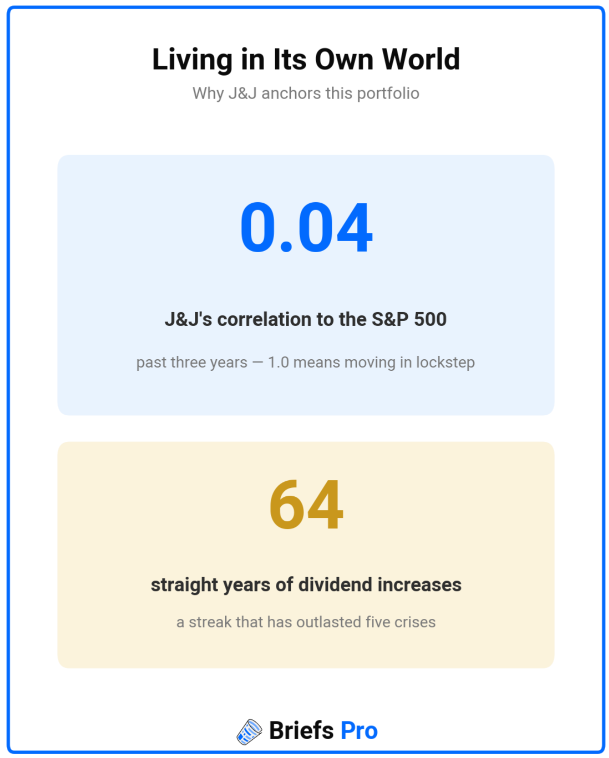
You already know this company, and that familiarity is part of the point - boring is a feature when the goal is protection.

**Its numbers back it up:**

- Second-quarter sales hit $25.3 billion, up 6.6%, and the company raised its guidance (its own forecast) for the full year.
- April brought the 64th straight yearly dividend raise.

That streak has already outlasted two Gulf wars, Vietnam, 9/11, the 2008 crash, and a global pandemic - it would be strange for this to be the crisis that finally breaks the habit.

On our preservation engine, J&J earns an A, with the shallowest maximum drawdown of any stock we tested: 17.4% over five years.




But the stat that really earns its spot is stranger. Across the last three years, J&J's correlation to the S&P 500 is 0.04, by our team's analysis.

Correlation measures how closely a stock follows the market. A score of 1.0 means it moves in lockstep, while a score near zero means almost no connection at all.

At 0.04, J&J has basically been living in its own world - when the market had its ugliest weeks over the last five years, J&J fell only about a quarter as far.

Plus, none of this comes at a discount. Investors are paying a premium for this preservation, with a price-to-earnings ratio around 30 as of August 11th, 2026.

- Price to earnings is how much investors are willing to pay for every dollar a company earns in profit.

But the case for it is simple: People keep buying despite all of that and wars - investors pay full price today, in exchange for wealth preservation down the road.

**Exit Trigger:** A broken dividend streak, or a court ruling big enough to dent the balance sheet, would change this story - and if the stock starts tracking the market again, the shield is thinning.

## *RISKS WE'RE WATCHING*

### How This Shift Could Change

The cost of this kind of defense comes first: If the war wraps up quickly and cleanly, these opportunities lose some of their growth potential.

Investors need to be aware that the trade off is slower growth if things wrap up fast.

Steady also doesn't mean loss-proof. Both names have dropped 17% to 18% from their peaks within the last five years, and either could do it again.

For Chubb, the risk is the very thing it insures - war losses tend to arrive in bunches, and a wave of claims out of the Gulf would hit its earnings all at once.

For J&J, the risks are the familiar ones - lawsuits, and a stock that's already fully priced.

**And keep in mind:** These two opportunities dodge issues with the Iran war.

A deep U.S. recession or a rate shock is a different kind of trouble that calls for different tools.

## *THE TAKEAWAY*

### Protecting Wealth Without Predicting the War

This opportunity boils down to one thing: Which two companies are going to succeed no matter what happens between the U.S. and Iran.

Chubb and Johnson & Johnson both scored A's based on our Wealth Preservation scorecard.

Why? The insurer collects rich premiums under every ending, next to the healthcare giant whose 64-year dividend streak has never once noticed a war.

**What we're watching from here:**

- Whether the strait actually reopens.
- War-risk insurance rates, which still sit between 3% and 8% of a ship's value.
- J&J's dividend and if it can stay out of legal trouble.
- Chubb's combined ratio - the scoreboard for whether the fear trade keeps paying.

Protecting wealth in a war doesn't require predicting the war. For investors focused on defense, CB and JNJ may be potential opportunities worth watching.

## - Briefs Finance Team

*The Briefs Finance Team often invests in the same stocks and assets we cover.

**Why?** Because we believe in practicing what we preach (and preaching what we practice).

**But keep in mind:** We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

**Our mission?** It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.